

HSBC Holdings plc (0005)

Model Update

Following HSBC's 1Q results (see [here](#)), we increase EPS by 1% across FY26-28E, driven by stronger NII and Fee revenues, offset by higher costs. We now forecast FY26E NII of \$46.0bn (in line with management guidance of c\$46bn), although with our assumed rates slightly below the forward curve and management assumptions (JPME FY26E average rates of 3.7%, HK 2.5%, UK 3.75%, EU 2%). We also forecast CoR of 45bps in FY26E with CoR averaging c43bps across 2-4QE. As a result of these changes, we increase our Dec-26 price target to HK\$182.

Overweight

0005.HK, 5 HK

Price (07 May 26): HK\$143.10

▲ **Price Target (Dec-26): HK\$182.00**
Prior (Dec-26): HK\$180.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	1.68	1.70	1.0%
Adj. EPS - 27E (\$)	1.81	1.83	1.0%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1			
Q2			
Q3			
Q4			
FY	1.55	1.70	1.83

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	62	51	55	41	66
Growth	23	60	48	68	77
Momentum	18	36	16	12	24
Quality	12	39	30	44	73
Low Vol	23	11	8	24	26

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 5 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 0005.HK Price (HK\$) — HSI (rebased)

	YTD	1m	3m	12m
Abs	16.9%	10.1%	6.2%	62.9%
Rel	14.6%	5.7%	7.5%	47.4%

Company Data

Shares O/S (mn)	17,430
52-week range (HK\$)	148.00-86.20
Market cap (\$ mn)	318,321
Exchange rate	7.84
Free float (%)	99.9%
3M ADV (mn)	19.00
3M ADV (\$ mn)	325.4
Volatility (90 Day)	35
Index	HSI
BBG ANR (Buy Hold Sell)	6 15 8

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	34,794	37,481	38,747	40,308
Non interest income	36,226	36,785	38,016	39,632
Operating expenses	(33,464)	(34,349)	(35,338)	(36,577)
Adj. PPOP	37,556	39,917	41,424	43,363
Provision for loan losses	(3,850)	(4,620)	(4,252)	(4,398)
Adj. PBT	36,617	38,079	39,926	41,693
Adj. net income	27,265	29,091	30,577	31,925
Adj. EPS	1.55	1.70	1.83	1.98
BBG EPS	-	-	-	-
DPS	0.75	0.83	0.91	0.99
Loans	988,399	1,021,493	1,055,858	1,096,674
Deposits	1,786,828	1,856,379	1,931,135	2,009,256
Total Assets	3,233,034	3,297,695	3,363,649	3,430,922
Margins and Growth				
NIM	1.6%	1.6%	1.6%	1.6%
Ratios				
Loan/ Deposit ratio	55.3%	55.0%	54.7%	54.6%
NPL / Loans	2.3%	2.2%	2.2%	2.2%
Coverage	47.3%	47.3%	28.3%	29.1%
CET 1	14.9%	14.2%	14.3%	14.2%
Non-int. income/ Income	51.0%	49.5%	49.5%	49.6%
Cost/Income	47.1%	46.3%	46.0%	45.8%
LLP/Loans	(0.4%)	(0.5%)	(0.4%)	(0.4%)
ROA	0.9%	0.9%	0.9%	0.9%
ROE	15.9%	16.3%	16.9%	17.2%
Valuation				
Dividend yield	4.1%	4.5%	5.0%	5.4%
Adj. P/E	11.8	10.8	10.0	9.2
P/ BV	1.8	1.7	1.6	1.5

Summary Investment Thesis and Valuation

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 17%. This means that the adjusted dividend yield (including share buybacks [SBB]) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to the HSB privatization, we estimate HSBC's 2026-28 total shareholder return yield at 8-10% each year, the highest within our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2026/27/28 RoTE (excluding notable items) to be 17.9%/18.3%/18.5%, broadly in line with HSBC's above-17% guidance. We rate HSBC Overweight.

Our Dec-26 PT of HK\$182 is based on our DDM analysis, with NAV discounted back to Dec-26 from 2028E and a fair P/B of 2.0x. Our key assumptions are a normalized ROE of 16.1%, a long-term growth rate of 2.4% and a cost of capital of 9.1%.

Performance Drivers

Market	47%
Region	7%
Macro	16%
Style	0%
Idiosyn.	30%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.62	0.71
Region: Hong Kong	0.51	0.40
Macro:		
HSI Volatility Index	-0.37	-0.43
JPM Global Equity Sentiment	0.26	0.31
JPM China A-shares Sentiment	-0.06	-0.23
Quant Styles:		
Value	-0.01	0.12
LowVol	0.05	0.11
Size	-0.02	-0.11

Investment Thesis, Valuation and Risks

HSBC Holdings plc (*Overweight; Price Target: HK\$182.00*)

Investment Thesis

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Valuation

Our Dec-26 PT of HK\$182 is based on our DDM analysis, with NAV discounted back to Dec-26 from 2028E and a fair P/B of 2.0x. Our key assumptions are a normalized ROE of 16.1%, a long-term growth rate of 2.4% and a cost of capital of 9.1%.

Risks to Rating and Price Target

Key downside risks to our rating and price target include:

- **Macroeconomic risks:** HSBC is exposed to GDP growth in Hong Kong SAR, Mainland China and the UK, as well as FX and cross-border/political risks, which could pose downside risks. Similarly, the global interest rate and inflation outlook could impact group margins, which may differ from our expectations.
- **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growth above normalized levels in the medium term – although we see both upside and downside risks to this. This includes specific areas such as China CRE, where the group has a large unsecured exposure, and Hong Kong CRE, where the portfolio has seen sharp deterioration.
- **Regulatory risks:** Regulatory risks include Basel 4, performance in BoE stress tests/Comprehensive Capital Analysis and Review (CCAR) and changes in capital regime.

HSBC Holdings plc (0005): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	32,970	34,794	37,481	38,747	40,308	Cash and cash equivalents	664,555	693,776	693,776	693,776	693,776
Interest expense	-	-	-	-	-	Deposits with banks	-	-	-	-	-
Net interest income	32,970	34,794	37,481	38,747	40,308	Net loans	930,658	988,399	1,021,493	1,055,858	1,096,674
Non interest income	34,464	36,226	36,785	38,016	39,632	PP&E	0	0	0	0	0
o/w Fee income	-	-	-	-	-	Net intangibles	12,384	13,107	13,238	13,370	13,504
o/w Trading income	(4,869)	(5,368)	(5,636)	(5,918)	(6,273)	LT investments	-	-	-	-	-
Net revenues	67,434	71,020	74,266	76,763	79,941	Other assets	1,409,451	1,537,752	1,569,187	1,600,644	1,626,967
Non interest expense	(32,810)	(33,464)	(34,349)	(35,338)	(36,577)	Total assets	3,017,048	3,233,034	3,297,695	3,363,649	3,430,922
o/w Employee costs	-	-	-	-	-	Interest earning assets	-	-	-	-	-
Pre-Prov. Profits	34,624	37,556	39,917	41,424	43,363	Deposits	1,654,955	1,786,828	1,856,379	1,931,135	2,009,256
Provisions	(3,414)	(3,850)	(4,620)	(4,252)	(4,398)	Borrowings	248,033	248,033	248,033	248,033	248,033
Adj. PBT	34,122	36,617	38,079	39,926	41,693	Other liabilities	921,787	992,507	992,187	952,879	936,607
Income taxes	(7,310)	(6,776)	(7,380)	(8,045)	(8,299)	Total liabilities	2,824,775	3,027,368	3,096,600	3,158,004	3,219,854
Minority interest	(1,020)	(846)	(130)	(60)	(60)	Shareholder equity	165,903	177,509	178,433	182,982	188,405
Adj. Net profit	25,216	27,265	29,091	30,577	31,925	Minority interests	26,370	28,157	22,662	22,662	22,662
PPOP per share	1.89	2.16	2.34	2.49	2.71	Total liabilities and Shareholder equity	3,017,048	3,233,034	3,297,695	3,363,649	3,430,922
Reported EPS	1.24	1.20	1.61	1.84	1.97	Interest bearing liabilities	-	-	-	-	-
Adj. EPS	1.36	1.55	1.70	1.83	1.98	Book Value Per Share	9.26	10.36	10.54	11.23	12.03
DPS	0.87	0.75	0.83	0.91	0.99	Tangible Book Value Per Share	10.32	11.56	11.85	10.41	11.17
Diluted shares outstanding	18,485	17,547	17,155	16,736	16,100						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	56.2%	55.3%	55.0%	54.7%	54.6%	Loan loss reserves/Loans	(1.0%)	(1.1%)	(1.1%)	(0.6%)	(0.6%)
Investment/Assets	-	-	-	-	-	NPLs/Loans	2.4%	2.3%	2.2%	2.2%	2.2%
Loan/Assets	31.3%	30.0%	30.8%	31.2%	31.7%	Loan loss reserves/NPLs	49.6%	45.1%	47.3%	37.7%	28.7%
Customer deposits/Liabilities	58.6%	59.0%	59.9%	61.2%	62.4%	NPL y/y growth	17.3%	0.0%	2.0%	2.0%	2.0%
LT debt/Liabilities	4.4%	4.5%	4.3%	4.2%	4.1%	Tier 1 ratio	17.2%	17.1%	16.3%	16.3%	16.3%
						CAR	-	-	-	-	-
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.6%	1.6%	1.6%	1.6%	1.6%	Return on equity (ROE)	15.1%	15.9%	16.3%	16.9%	17.2%
Non interest income/Net revenue	51.1%	51.0%	49.5%	49.5%	49.6%	Return on assets (ROA)	0.8%	0.9%	0.9%	0.9%	0.9%
Non interest income/Avg. Assets	1.1%	1.2%	1.1%	1.1%	1.2%	Operating ROA	1.0%	1.1%	1.1%	1.1%	1.1%
Efficiency ratio	48.7%	47.1%	46.3%	46.0%	45.8%	Pre-Tax ROA	1.1%	1.0%	1.1%	1.2%	1.2%
Leverage ratio	4.8%	4.9%	4.5%	4.6%	4.6%	Pre-Provision ROA	1.1%	1.2%	1.2%	1.2%	1.3%
Revenue/Assets	2.2%	2.3%	2.3%	2.3%	2.4%	Tax rate	22.6%	22.7%	20.3%	20.0%	20.0%
RORWA	3.0%	3.2%	3.2%	3.3%	3.4%						
						Net loans y/y growth	(0.8%)	6.2%	3.3%	3.4%	3.9%
RWA	838,254	888,647	905,574	927,622	956,896	Assets y/y growth	(0.7%)	7.2%	2.0%	2.0%	2.0%
Avg. RWA	846,184	863,451	897,111	916,598	942,259	RWA y/y growth	(1.9%)	6.0%	1.9%	2.4%	3.2%
Avg. IEA	2,099,285	2,190,078	2,300,760	2,387,842	2,482,746	Deposits y/y growth	2.7%	8.0%	3.9%	4.0%	4.0%
Gross Loans	940,373	999,091	1,032,399	1,066,982	1,108,020	Net interest income y/y growth	(9.9%)	5.5%	7.7%	3.4%	4.0%
Avg. IBL	-	-	-	-	-	Revenues y/y growth	2.6%	5.3%	4.6%	3.4%	4.1%
LLR	(9,715)	(10,692)	(10,906)	(6,659)	(6,992)	Adj. EPS y/y growth	9.4%	13.9%	9.1%	7.7%	8.5%
NPLs	22,615	22,615	23,067	23,529	23,999	BVPS y/y growth	5.0%	11.9%	1.8%	6.5%	7.2%
P/BV (x)	2.0	1.8	1.7	1.6	1.5	IE assets/Assets	69.6%	67.7%	69.8%	71.0%	72.4%
Adj. P/E (x)	13.4	11.8	10.8	10.0	9.2	Margins (as % of Avg. Assets)	-	-	-	-	-
Dividend yield	4.8%	4.1%	4.5%	5.0%	5.4%	LLP/Loans	(0.4%)	(0.4%)	(0.5%)	(0.4%)	(0.4%)
Dividend payout	70.2%	62.4%	51.3%	49.2%	50.1%	Equity/Assets	-	-	-	-	-
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.1%
						Assets/Equity	18.2	18.2	18.3	18.4	18.3

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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HSBC Holdings plc (0005) (0005.HK, 5 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
07-Jul-23	N	61.00	66
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165
18-Mar-26	OW	124.80	180

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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Coverage Universe: Lei, Katherine : Agricultural Bank of China - A (601288.SS), Agricultural Bank of China - H (1288.HK), Bank of China - A (601988.SS), Bank of China - H (3988.HK), Bank of Communications - A (601328.SS), Bank of Communications - H (3328.HK), China Citic Bank - A (601998.SS), China Citic Bank - H (0998.HK), China Construction Bank - A (601939.SS), China Construction Bank - H (0939.HK), China Everbright Bank - A (601818.SS), China Everbright Bank - H (6818.HK), China Merchants Bank - A (600036.SS), China Merchants Bank - H (3968.HK), China Minsheng Banking - A (600016.SS), China Minsheng Banking - H (1988.HK), Futu Holdings (FUTU), HSBC Holdings plc (0005) (0005.HK), HashKey (3887.HK), Huaxia Bank - A (600015.SS), Industrial Bank - A (601166.SS), Industrial and Commercial Bank of China - A (601398.SS), Industrial and Commercial Bank of China - H (1398.HK), Ping An Bank - A (000001.SZ), Postal Savings Bank of China (1658) (1658.HK), Qfin Holdings (QFIN), Shanghai Pudong Development Bank - A (600000.SS), Standard Chartered Plc (HK) (2888) (2888.HK)

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IB clients**	83%	79%	74%
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